

Rightmove RMV

November 14, 2023 - 12:32pm EST
by

Alejo Velez

			2023	2024
Price:	5.03	EPS	0.24	0.24
Shares Out. (in M):	812	P/E	21	21
Market Cap (in \$M):	4,055	P/FCF	22	22
Net Debt (in \$M):	-35	EBIT	262	255
TEV (in \$M):	4,020	TEV/EBIT	15.5	15.7

Description

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Thistle933 pitched Rightmove (RMV) in July 2008 in what was arguably one of the worst real estate environments in UK history. A fantastic write-up.

If you don't know about RMV, I'd strongly recommend reading through it: [Value Investors Club / Rightmove \(RMV.LN\)](#). And if you are familiar with RMV, I'd strongly encourage you to read through it too: you'll notice how little things have changed in the UK property market and in RMV's business model, market position and more importantly, earnings power. There are very few businesses out there where you can say this with confidence after 15 years, but RMV is arguably one of the best businesses in the world.

Since Thistle933's pitch, the stock has compounded at 22% annually even after a few dreadful recent years of underperformance.

Right until mid-October, RMV's had compounded at 7.5% over the past five years. While better than its benchmark, this was below peers and what you'd expect from a dominant classifieds marketplace. Blame concerns about the UK property market.

Since mid-October, RMV's stock has fallen by 15%, taking the 5-year CAGR to 2.5%, subpar by any standards. Blame CoStar and its announced acquisition of OnTheMarket on 17th October.

Higher interesting rates, cost-of-living concerns and macro woes are not great for the UK property market, but the downturn – as bad as it is for real estate agents and property developers – may not be as bad for RMV as implied by its stock performance up to mid-October.

And CoStar threats, while scary, are unlikely to cause the damage implied by the stock price move after the deal announcement. In fact, I doubt they'll cause any damage at all!

In essence, at today's price, you can buy an asset with a formidable moat at a ~5% 2023 FCF Yield that could grow at high single to low double digits in the next few years, for a potential low teens return in the next five years.

Preparing for the worst

RMV's revenues depend on the number of real estate and new housing developments paying for a subscription times the price of that subscription. Their pricing power arises from hard-to-replicate network effects: RMV is one of the most visited sites in the UK, with at least 2 monthly visits per capita, making it compulsory for real estate agents to advertise sale and rental properties on the site. In spite of a higher cost than alternative portals like Zoopla and OnTheMarket, RMV delivers high ROI for customers: more leads, more conversions.

Historically, RMV has been able to increase their annual subscription price by 13% CAGR since 2009.

Here's a good summary of the market and where RMV fits in:

Market Summary	unit	2005	2008	2012	2015	2018	2019	2020	2021	2022
Housing transactions	'000	1,400	900	933	1,230	1,191	1,177	1,043	1,476	1,256
Value of UK Dwelling Stock / GDP	x	2.2x	2.2x	2.4x	2.7x	2.5x	3.0x	3.6x	3.6x	3.8x
Number of Agent branches	#	13,655	18,000	15,500	19,000	17,700	18,400	18,400	18,400	18,400
Sale Transactions per branch	#	89	42	54	58	56	55	49	71	59
Average House Price	£	160,209	160,954	168,843	204,920	229,729	233,739	247,983	268,115	291,361
Average Residential Loan size (£)	£	96,108	99,359	106,702	112,334	116,364	119,485	125,354	131,557	
Average LTV of UK Mortgage market	%		60%	59%	52%	49%	50%	48%	47%	45%
Private renters (UK)	'000	-	3,684	4,591	5,225	5,639	5,688	5,730	5,777	5,777
Median Annual Rent	£	-	6,780	7,176	7,800	10,036	10,452	10,296	10,868	10,868
Landlords Management fees	£		291	309	335	482	502	494	522	522
Average sales fee	%	1.9%	1.6%	1.6%	1.4%	1.3%	1.2%	1.2%	1.2%	1.2%
Average Estate Agent commission/transaction	£	3,044	2,575	2,701	2,869	2,872	2,805	2,976	3,217	3,486
Rightmove ABPA/month	£	157	307	529	754	1,055	1,088	778	1,189	1,314
Average Rightmove cost per house sold	£	21	88	119	157	218	238	252	200	266
# of sales needed to cover Rightmove fees	Houses	1	1	2	3	4	5	3	4	5
# of sales needed to cover 1 member of staff	Houses	8	10	10	12	12	12	12	12	12
# of sales needed to cover Annual Rent	Houses	8	10	10	10	11	11	11	10	10

Source: Various

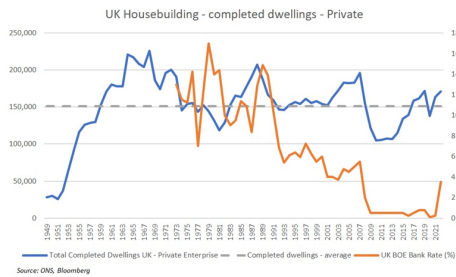
New Homes represent a large investment (£244k average cost to build in 2022) that sits in homebuilders balance sheets for over a year typically. They have an interest in selling them as fast as possible to recycle capital; On the other hand, existing home sellers may or may not instruct agents depending on price expectations and their own personal circumstances (whether they have a mortgage and can they get a new one to move up the ladder, three Ds, etc). Worth considering is what a weak market may bring for RMV.

For reference, UK housing transactions peaked in 2007 at 1.6 million and then fell to 0.86 million in 2009. Still, the number of properties advertised on RMV INCREASED from 1.04 million in 2007 to 1.1 million in 2009. This makes sense: forced selling and repossessions accelerate in a declining property price environment.

In the 5 years to 2022, the number of UK housing transactions increased from 1.2 million in 2018 to 1.26 million, with a spectacular 1.5 million in 2021. Stamp duty holidays, low rates and the COVID craze all had an impact. Meanwhile, the number of properties advertised on RMV DECREASED, from 1 million in 2018 to 0.74 million. Again, this makes sense: houses were selling like hot cakes, so why bother uploading each new instruction to RMV.

The opposite should happen in a weaker market as agents revert to their most reliable source of leads: RMV's share of all minutes spend on property portals in the UK is 86% and it receives well over 100 million visits per month via web and app. At least 95% of this traffic is free.

On average, there have been 150k new privately completed dwellings in the UK each year going back to the 1950s under different interest rate environments. 166k were completed in 2022. This translates into around 54 dwellings per site based on RMV's 3,082 New Home Developer sites throughout the year. Should completions fall to 2008-09 levels followed by a reversion to the historical mean over the next five years, you could expect ca. 2,700 New Home Developer sites advertising on RMV during the period. When times are tough, new homes take longer to sell, which means developers are/will keep their advertisings going for longer, this helps offset the lower number of advertisers.



Concerning agents, there were approx. 59 sale transactions per estate branch in 2022. In 2009, this figure was 48. As a departing message in his last annual results call in March 2023, former CEO Peter Brooks mentioned the estate agents three Ds: Divorce, Death and Debt. They drive transactions and are a reason why even in 2008 there were 900k housing transactions in the UK and 858k in 2009. He called this a natural floor. Since then, the total dwelling stock has increased by about 2.4 million, so I think you can consider a higher natural floor this time around. Still, assuming 48 closings per branch in a weak market gradually increasing back to the long-term average of 60, I can see RMV retaining ca. 15.4k branches on average in the next five years, compared to 15.9k at the end of 2022.

CoStar, Death Star?

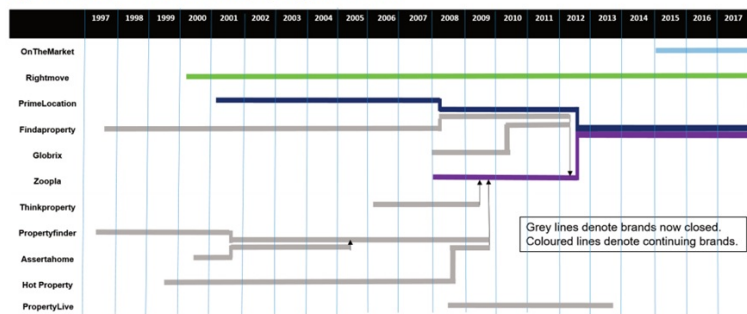
For starters, competition is a constant in the UK online classifieds market. MickyS ([Value Investors Club / OnTheMarket \(OTMP\)](#)) presented a compelling case for OnTheMarket late last year that offers additional context on competition.

Here's a summary of what Rightmove has fought against since inception:

- BoomIn – launched in 2020, died in 2022 after burning through ~£70m of cash.
- OnTheMarket launched in January 2015
- Globrix, previously owned by DMGT, was sold in 2013 to Zoopla, who closed it. Zoopla became a larger competitor to RMV but as per RMV's 2012 annual report, its market share was unchanged regardless.
- DMGT operated Find A Property and Prime Location websites, then sold them to Zoopla in 2012, at the time privately owned by PE. In September 2012, Zoopla shut Find A Property down
- Google withdrew from the property advertising market at the start of 2011. Google had made it possible to see properties on their maps since early 2009 thanks to scraping of property portals websites. This was at the same time RMV partnered with Google to enable searching for properties on a map powered by Google. At times, the information offered was outdated and the user experience was poor and hard to monetize for Google.
- During 2011, RMV noticed that established competitors had increased their level of marketing activity but despite this, the gap between RMV and them had widened.
- *"From its inception, Rightmove has experienced a regular flow of new property portal entrants, whether explicitly seeking to compete with us or not. They have exhibited a range of business models and frequently offer free advertising to agents. Those who attracted the most attention have failed to make any material impact on our market share and whilst we cannot rule out the appearance of a completely new entrant or business model, nothing we have seen to date gives us serious cause for concern"* (2009 AR)
- *"We believe that the tougher market conditions reinforce the view that the long-standing competitor property portals, all owned by larger media groups, represent the most tangible source of competition"* (2008 AR)
- Competition has come from traditional media companies (print) who were in structural decline, as well as from new online media entrants: *"Since the start of the year there has been no significant change in the competition from traditional media companies seeking to defend a threatened franchise and from potential new entrants to online media"* (1H 2008)

From OnTheMarket's prospectus:

Figure 1: Consolidation in the UK property portal market



Source: Company

Source: OTM IPO Prospectus

Looking at the list and chart above, you could argue that RMV has passed the "Buffett billion dollar test" ([A Business State of Mind | Colossus® \(joincolossus.com\)](#)), emerging unscathed from competitors picking multi-million-pound marketing fights with them. RMV will be tested once again soon.

On 17th October 2023, CoStar announced the acquisition of OnTheMarket, writing:

"CoStar Group intends to invest £46.5 million into sales and marketing in the first full year following the commencement of the integration of the portal into CoStar's network of residential marketplaces. That amount represents six times OnTheMarket's current annual media spend and more than three times the current annual media spend of Rightmove plc. The sales and marketing investment is the first stage of a multi-year investment program totaling hundreds of millions of pounds to drive more consumers to the OnTheMarket portal with the goal of significantly increasing the quantity of valuable leads to OnTheMarket's agent clients."

And added, threateningly:

"CoStar Group has a track record of acquiring strong-performing property portals that are not the number one players and investing and building them into the most successful portals serving their market. CoStar Group acquired 5th place U.S. residential rental platform Apartments.com in 2014 and grew it to the number one player in the U.S. with revenue now approaching a billion dollars. CoStar Group recently acquired Homes.com, a 6th place residential property portal in the U.S. with 6 million unique visitors and turned it into the fastest growing U.S. residential portal with more than 100 million unique visitors in September of 2023. Homes.com is now the number two most trafficked residential marketplace in the U.S."

A few days later, during their quarterly earnings call Q&A, CoStar expanded (apologies for the long transcript, but I think it's relevant to my conclusion)

"Q - Ryan Tomasello

Hi, everyone. Thanks for taking the questions. I guess, following up on the UK deal, Andy, obviously, OnTheMarket gives you a solid foothold in the UK specifically, but you also called out the optionality that that infrastructure brings you to expand the Homes brand across the European market more broadly. So just curious if you can elaborate on the strategic rationale of what a trans-European type residential portal brand, what synergies that could provide, what the strategy can look like from here in terms of perhaps participating in that consolidation wave that you're expecting across other portals perhaps in other countries? Just a finer point around what that could look like over the next several years. Thanks.

A - Andrew C. Florance

Sure. I mean, there's probably 80 portals operating in Europe, with a market cap very roughly because some are private, some are public, 30 billion plus. Some of them trade extremely high multiples, some of them trade at lower multiples. It's a very fragmented market and I do believe; I think there's two different camps. There's some camps that feel that technology does not play a meaningful role in the digitization of real estate and there's some people that think that technology will play a big role in the digitization of real estate.

We fall in the camp of **thinking that technology is important and that having -- and that scale -- there'll be greater scale than individual countries over time** and that fundamentally what these companies are doing is very similar. They're basically putting placards, maps, SEO strategy, SEM strategy, branding strategy. They're serving up digital twins, they're serving up videos. It's all very similar and there is the opportunity to differentiate one brand from another with technology. And so I believe there will be significant consolidation and there will be a little bit of a musical chairs occurring, and we are -- and there will be winners and losers in it, and we want to keep a careful eye on it. And I just would say that it reminds me very much of the United States maybe 10 years ago before a lot of consolidation occurred.

So I think it's an exciting opportunity. Again, the scale of the opportunity, both in the revenue potential in the \$10 billion to \$20 billion range and the market caps in the \$30 billion plus, it's great to have a seat at the table and **we believe that our technology is competitively advantaged in the market**. And so, we're operating on that premise"

"A - Andrew C. Florance

Sure. I would just -- I don't know if I'll get that -- answer that in the proper order, but I would say that -- I wouldn't say that we're not interested in the number one asset in the market. We would be interested in the number one asset in the market. What we want to avoid is, we want to avoid overpaying materially for something. **And one of the things we do when we look at a particular portal is we consider, if there are three portals in a market or four portals in a market, we will look at what the traffic is on the lead portal, the number two portal, number three, number four portal. We look at the potential cost or value, like acquisition costs of each of those portals and we'll also be mindful of how we can change the outcome.**

So if we think that we can build traffic on a given portal up to the number one position, if we can take a portal from number four to number one, we can estimate the cost of what it takes to do that. And we know the cost of bringing the technology in. We balance that against the cost of buying the number one portal. And so if it's cheaper to build versus buy, we'll build, but build from the context of acquire and invest as opposed to acquire number one and try to hold that number one position.

So I think sometimes, you can do the calculation in various European markets and determine that it would be -- it would take you 60 years to get a payback relative to the cost of simply buying and building the traffic up. So you're looking for a better return. So we look at it through that lens, the value you get for the price you're paying. There is a mindset that you've heard that people believe that all of these 80 portals are set and locked in their stack rank and that there's no value to technology in any of these digital portals.

I think that's wrong. **I think the positions will move and they always have moved. If you look at who was number one five years ago, it's different than who was number one seven years ago. So it's more dynamic than people appreciate** and we just carefully are meeting some wonderful people in Europe, getting to know them, getting to know their companies, a lot of people we love to work with, but we want to make sure that our shareholders' dollar goes as far as possible and that we aren't -- that were optimizing the investments we're making"

"Q - Ella Smith

Understood. Thank you. And my follow-up question is around the market dynamics in the UK. So Rightmove has maintained a market dominant position in the UK for quite some time. And **as we understand that many players have thought to disrupt Rightmove with marketing and digital investments, and they've largely failed.** What do you think CoStar can do differently to disrupt the market despite the company's minimal presence in Europe currently?

A - Andrew C. Florance

Well, I tend not to assign godlike characteristics to mere companies. And **when I see a 72% to 74% margin in a company with none of the major players actually materially investing in my view into significant marketing in the market,** I think that the power of the technology we've developed with Homes.com and our experience in building traffic often against companies that have more traffic than we have when we begin, feel very comfortable we have something to bring to the table in the United Kingdom and that we can offer some real value in the market. **I would flatly reject any concept that any company is impervious to competition,** with the exception of a couple of the FAANGs"

RMV has taken a hit of ~£800m hit to its valuation since then, which suggests the market is concerned that this time, things will be different.

We don't know how CoStar plans to spend the money. But there's a recent example of an American company using a similar approach against Auto Trader in the UK that offers relevant insights for what's to come.

CarGurus

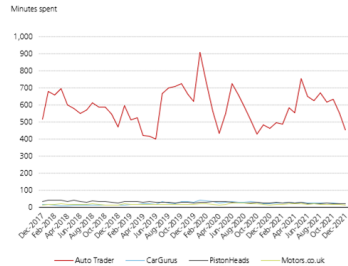
In 2017, CarGurus' CEO offered a justification for their investments in the UK:

"Third, we will grow internationally, as we continue to see the need for an unbiased transparent marketplace in countries around the world. In addition to the US, we currently operate in Canada, the UK. And Germany. And we have identified and are doing foundational work in other viable international markets.

It is important to note that the technology platform we have built is able to be quickly modified for use in countries outside of the US. Our financial strategy is to use the profits from our US business to fund our international investments. We believe that we have a significant opportunity to offer our disruptive value proposition on a global scale." (Cargurus CEO - Q3 2017 Earnings Call)

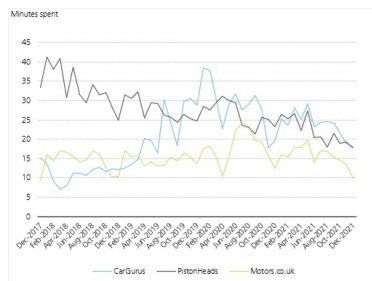
This reads very similar to CoStar's own ambitions.

Berenberg estimates CarGurus has invested ~\$170m in their UK business since 2015. This level of investment and the fact that they managed to reach over 200k car listings on their site barely affected the time spent on Auto Trader's properties:



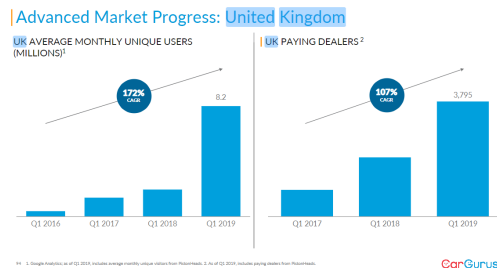
Source: UBS

Although things got really nasty at the bottom end of the market:



Source: UBS

And CarGurus managed to make some progress, growing paying dealers to almost 3.8k with 8.2 million monthly unique visitors.



Source: Cargurus Investor Day 2019

To help with their quest, they bought PistonHeads in 2019 (they paid ~£15m, ca. 3.1x TTM sales and 11.5x TTM EBITDA, for EBITDA margins of around 28%). But as of September 2023, Auto Trader's traffic is still 26x that of Cargurus/Pistonheads.

Cargurus' last investor day presentation in May 2022 contained only three references to their International operations and the UK was mentioned once in three hours of presentation and Q&A, to say it was close to reaching profitability. CarGurus shut down their German, Italian and Spanish marketplaces in May 2020.

You could think that the pressure on Auto Trader, whose customers were in many cases getting CarGurus product for free, plus the money spent on traffic acquisition, would have forced Auto Trader to respond somehow. They did, but not the way you'd have expected: marketing spend DECLINED from 6% of revenue in 2015 to 5% in 2023 and their operating margin INCREASED from 52% to 70% in the same period. Their response was simply to continue investing in product development, in some cases copying the very good ideas proposed by CarGurus themselves.

RMVs starting op. margin is above 70% and for 2023, the company guided to 73% margins on the back of 8% ARPA growth (£100 absolute value) at their interim results.

CoStar appears to be making a similar mistake to CarGurus': overestimating the power of Google in UK property search when the vast majority of searches are organic and directed at the #1 portal. Their comments suggest a serious underestimation of the power of network effects.

Even if CoStar could somehow make OnTheMarket a 10x better product than RMVs (difficult to see how, given how it does the job for UK property buyers and renters), all RMV has to do is copy those best features in response. Doing so enhances the offer to agents, who should still see higher ROI from paying RMVs higher subscriptions.

There would be no real need for RMV to match CoStar marketing push pound for pound, but rather a slight increase to let the UK property seekers they're there as always would suffice.

To conclude here, CoStar represents a real threat to RMV only to the extent it may lead to management mistakes. SeLogger, AutoScout and Autotrader (US) are examples of market leaders that lost their dominance because of management strategic mistakes: SeLogger didn't match LeBonCoin's private listings and lost prominence for not having whole-of-market view; AutoScout didn't match Mobile free ads for individual sellers; Autotrader didn't copy Cargurus' relative pricing ranking for cars which improved the car buyer's experience.

Unfortunately, RMV's current board of directors lacks deep expertise in marketplaces, with only one member, Amit Tiwari, having direct involvement with the business model as an investor. New CEO Johan Svenstrom, however, is well versed with marketplaces both as an investor (partner in EQT) and as manager (former President of Hotels.com), so at a minimum he should be familiar with these three business cases to be able to shift strategy as needed. Investors should hear more about this in late November at the Capital Markets Day.

What else?

In the first half of 2023, RMV generated £17.5m of Other Revenues, of which £11m came from Commercial, Data Services and Mortgages. This was the first time they broke these revenue line down. They highlighted these three revenue lines as areas of focus going forward. At a £22m annualized clip, they represent less than 6% of total revenues, but are growing faster and according to management expectations, the market opportunities are large and growth should accelerate in coming years, delivering similar margins to the core business at scale.

Investments in mortgages (Mortgage-in-principle leads to lenders and brokers) and data services are expected to deliver accelerated growth and profit post 2025 after a £20m planned investment over three years starting in 2024. RMV has been slow to monetize data and traffic in different ways in the past, so the initiatives in these two areas are encouraging.

RMV is itself a challenger in UK commercial real estate, where CoStar's Loopnet has a dominant presence and better data, making success an open question.

Watch out for (risks)

Property market – My base case is based on avg. of 15k agents and 2.8k new home development sites over the next few years. These numbers will be too high if housing transactions fall below 800k/year.

RMV response to the CoStar threat: I would want them to increase marketing spend to capture the little share of Google traffic available; accelerate product development and copy any good features OTM comes up with. Not doing so would increase CoStar chances of success.

What to expect (valuation)

I'm counting on RMV responding to CoStar's threat by doubling marketing spend from 4% to 8% of revenues over a three year period and reverting back to 4% after this. Product development investment increasing by a third to 8% of revenues and gradually declining after three years. Also, I'm modelling New Home Developments to fall to 2,2k in 2024 and recovering to around 3,000 in 2026; I'm modelling the agent count to decline by 1% in 2023, falling to 14,9k after 2026.

I apply a terminal multiple of 20x to my final cash flows. For context around this multiple I'd refer you to my VIC write-up on Auto Trader.

Also, I'd point out at Silver Lake's acquisition of Zoopla in 2018 at 25x the business 2017's EBITDA. Zoopla's EBITDA margin as No2 in the market was 39%. Very good but materially below RMV's >70% and even the 67% I would expect the business to realize after investments made to defend against CoStar.

Under this assumptions, the current share price is implying 0% ARPA growth going forward, which I think is beyond extreme considering their historical 13% annualized ARPA growth since 2009 and the most recent 7.3% CAGR between 2017-2022. Anything above 1% ARPA growth delivers IRRs in the double digits which I think is quite attractive for a business like RMV. I would expect ARPA of at least 5% going forward, for a mid-teens expected IRR.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

CMD in late November offering clarity into the investment opportunity set, management's approach to the CoStar threat and views on the UK's property market prospects.

In recent days, an activist investor in OnTheMarket has sent letters to the company's shareholder arguing for a negative vote on CoStar's offer. While unlikely to succeed, a rejection of the offer would automatically simplify RMV's investment case.

Time and management delivery.

Messages

Subject OpenRent, some thoughts
Entry 08/09/2024 10:54 AM
Member Alejo Velez

OpenRent left Rightmove (officially) on 5th August 2024.

They came back 3 days later.

Here are some thoughts for those following on the sidelines concerned about CoStar and their forays into the UK market via OnTheMarket:

OpenRent made some bold claims in their open user forum:

[Openrent not listing on Rightmove any more? - Landlord Discussion - OpenRent Community | Landlord Forum](#)

26th July they wrote:



Daz

OpenRent

10d

Jul 26

Please share your data with us to prove "Rightmove makes up a relatively small % of our overall tenant enquiries".

@Suzanne3

We will happily do this in due course - it will be much easier to show on a graph once all our older adverts have expired from Rightmove (we are still advertising several thousand older properties there). This will take a few weeks.

In the meantime, if landlords want to actually do a comparison using a different service, I'm extremely confident you will see both more enquiries using OpenRent vs. only Rightmove, and furthermore the enquiries you get from OpenRent and our current partner portals will be of higher quality (more likely to proceed to rent your property).

I think anyone claiming otherwise without doing such a test is doing themselves a disservice as well as misleading other genuine landlords simply looking for the best way to find a tenant. Rightmove may well have been market leaders years ago, but this is no longer the case in the rental market.

We certainly don't take this decision lightly, and do so in the best interests of all of our landlords. As the largest lettings agency in the UK we have data from hundreds of thousands of properties, can compare nationally and locally, and will share this soon **.

39 / 98

Jul 30

21h

Back

OpenRent landlords did not believe them!



David103

Rent Now Landlord



Daz:

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Ok, here is my anecdotal evidence:

OpenRent - online for 3 days, 14 enquiries, 3 suitable tenants

Quick Lister - online for 2 days, 31 enquiries, 6 suitable tenants

I was one of the customers caught out by OpenRent ceasing their relationship with Rightmove (as in their logo was still one of the portals listed when I placed the advert only for it not to appear.) To be fair to OpenRent they refunded the money after contact but a simple bit of communication would have avoided the majority of bad feeling amongst customers I'm guessing.

Quick Lister has none of the functionality that I really appreciate about the OpenRent platform but from the unintended A/B testing that I've had to do I really cannot not be on Rightmove for it's potential tenant reach.

I guess going forward I'll have to run both OpenRent and Quick Lister adverts, then guide selected tenants to the OpenRent advert to use te Rent Now/contract features etc. Would happily pay more as others have said if Rightmove was included to utilise OpenRent features.

and the tests confirmed that RMV does provide more leads and potentially more suitable leads too.

Note the willingness of landlords to pay an additional fee for RMV! Today, the easiest way for them to exploit this willingness to pay is via higher agent prices who will increasingly pass those on to their own landlords/vendors



Mark10 Regular

2 10d

There is only one reason and one reason alone. Cost. **A package that includes Rightmove at an additional fee may well solve the problem. Let the customer choose.**

The perceived value of Rightmove alone will make landlords choose Openrent, or not as it will be moving forward.

Openrents own published stats say that Rightmove receives around 150% more searches per month compared to Zoopla.

Quote:

"Rightmove receives over 125m views every month. Zoopla receives over 50m views."

Any portal that ditches RM is struggling

Some regions do well from Zoopla granted, but it is proven already that Rightmove has market share.

Applying national averages does not work in scenarios like this. Search behaviour is regional and this policy is now excluding a huge significant audience.

Cover all bases.



rsmallwo

4d

The other platforms have a price differential touse Rightmove rather than not. **Quick lister charge an extra £20. Seems like a reasonable uplift to charge this... could even make it £30 and have a round price of £99 for RentNow with Rightmove. Beats trying to run 2 platforms to achieve one goal which is just stupid and costs an extra £40.**

I'll post back in a week to see how my advert has done. It's a relisting so I have with Rightmove no's from several weeks ago. I'd be very very surprised if it was any where close with the market I'm aiming at.



Mark119

5d

We were disappointed to find OpenRent were no longer advertising on Rightmove. We really like the functionality of OpenRent. So - **we posted with Quicklister. Functionality is not as good, but adverts appear on Rightmove, Zoopla and OnTheMarket. In 2 days we had around 121 enquiries. 106 were Rightmove, 13 were Zoopla and 2 OnTheMarket. We also used the free OpenRent option and had 11 enquiries. Suffice to say we did 11 viewings, all were Rightmove and there was 1 cancelation, who was via OpenRent.**

I would overwhelmingly say that the decision to move to the other portal, advertising on Rightmove, was a phenomenal success and OpenRent are deluded if they think the stats say otherwise.



Michael59 Rent Now Landlord

William39 2d

Quicklister verified me in about an hour and they have a very good Whatsapp customer service. For info **I went for the Rightmove, Zoopla, Primelocation & On The Market package and 100% of enquiries are via Rightmove so far in the last 12 hours.**

It goes on! You have to love this...

In the end: OpenRent went back to RMV and have agreed to pay whatever the price on offer was, or more...

This is from 8th August:



Daz OpenRent

1 22h

Rightmove has now been re-enabled as an advertising partner and we're very pleased to announce our prices will be staying the same. All landlords who continued to pay for advertising will see their property automatically added to Rightmove shortly alongside our other advertising partners.

There continues to be no better way to let your property than via OpenRent, and our average time to let a property remains at a market-beating 6 days. We know all 6 million+ users appreciate the efforts from the OpenRent team in ensuring they get the best value for money, and service, in the market. We sadly can't always disclose full details of negotiations, third-party contracts or market data due to legal restrictions, but really appreciate the trust and support from the community who know we've always acted, and will continue to act, in their best interests.

As the matter is now resolved, this thread will be closed shortly.

Please see our announcement here: [Rightmove advertising update](#).

Can't think of a better endorsement of RMVs value for vendors and landlords across the UK.

The message to other RMV customers: be careful of miscalculating how relevant you really are.

OpenRent bluffed, RMV called them, OpenRent lost, RMV's share of audience/traffic, brand keeps winning.

The stock remains cheap.

Subject REA takeover
Entry 09/06/2024 07:48 AM
Member Jayus

Any thoughts on the likelihood of REA making a bid? I don't really see the benefit or synergies from having two leading residential portals in two different regions, outside of sharing some best practices and perhaps some more stability (exposure to two housing markets instead of one). More relevant here is that REA's management apparently believes otherwise. A deal would be instantly accretive to REA with RMV trading at 22x 2025 P/E vs REA at 40x. When I spoke to RMV they told me that if they were to be acquired, they would expect a large premium because many RMV shareholders have been owning the shares for many years and saw the shares at close to 7 GBP before the pandemic and close to 8 GBP in 2021.

Subject Re: REA takeover
Entry 09/06/2024 08:14 AM
Member Fat_Tony

A 30k ft view: by our est's, REA has nearly 3x the monetization rate of RMV as a % of home sale value.

They have quite different monetization models...with REA's fee effectively paid by the seller out of total sale proceeds vs RMV's agent subscription model.

REA has confirmed they want the asset. I suspect it is in large part because of the above. I expect any deal call (should they get RMV board/shareholders across the line) will be about: 1. rev model evolution towards REA --> higher monetization, and 2. consolidated technology/R&D stacks.

Note: I think a transition towards REA's monetization model would be an agent-friendly move (RMV fee funded more from seller than agent).

As you note, the multiple spread allows for a big premium, particularly if a mostly-stock deal. And if the monetization angle above is right, the deal may not be as dilutive to growth as stand-alone figures suggest.

Subject Re: REA takeover
Entry 09/06/2024 10:56 AM
Member gtwt

Charging the seller/homeowner works best in a market with agent exclusively though (read Sweden and Australia). Not in the U.K. or Germany.

REA probably just likes the fact RMV is very cheap. Hard to estimate the probability of a successful outcome but won't be surprised if this goes nowhere.

Subject Re: Re: Re: REA takeover
Entry 09/13/2024 04:11 AM
Member Jayus

I am a bit confused why RMV's share remain steady at these levels following the rejection of REA's bid. REA's current bid is only a 4-5% premium to the current price, suggesting the market probably expects an enhanced offer. Using some rough math, I don't think REA can get much higher. The current bid already pushes REA's PF ND/EBITDA to 3.3x, while the business has historically been run at low leverage or even net cash. There are limited synergies, hence the deleveraging will go slowly. I also see limited room for a larger equity component, as the current bid lowers NewsCorp ownership in REA falls from 61% to 50.1%. One scenario is that NewsCorp uses its ~\$2bn AUD net cash position to increase its stake in REA and therefore being able to raise the equity conversion from 0.038 to 0.06, improving the bid to up to ~£9.3 from ~£7. This would be a 40% premium from today's price and a 70% premium to the undisturbed price. The equity component will then be close to 70% of the consideration and I wonder how many investors are looking forward to owning PF REA at high-thirties P/E with >3x leverage versus RMV at low-twenties and net cash. I don't know either NewsCorp or REA well, so don't know how likely this would be. But it seems more likely that they walk away than pursue this course of action. Am I missing something?

Subject Update
Entry 11/27/2025 01:54 AM
Member Jayus

Hi Alejo or anyone else that wants to chip in.

How are you thinking about the recent trading update? I still haven't figured out whether these increased investments are more defensive in nature (previous management having milked the business and they now need to catch up) or offensive (large growth opportunity ahead and the company being proactive in capturing it).

It naturally doesn't look good when a new CEO joins in 2023, announced ambitious growth targets that came at the expense of margins and are now being pushed out while at the same time launching an additional investment cycle. The market, rightly so, is skeptical. However, Rightmove's core business remains intact with no visible impact from the whole CoStar/OTM situation that is now already 2 years ago.

Classifieds remain high-quality companies and I don't see AI as a significant risk here given the high direct traffic share and Rightmove being synonymous with housing for most UK citizens. At 17x 2026 P/E and being net cash, how attractive do you see the shares now? It wasn't long ago that REA offered 7.75 per share (+40% above current levels).

Subject Re: Update
Entry 01/25/2026 03:02 PM
Member virtualodin
 Bump!

Subject Re: Re: Update
Entry 01/26/2026 11:53 AM
Member JackBlack

Is the stock performance anything more than fear that CSGP is going to destroy the market? And does anything other than that matter?

Subject Re: Re: Re: Update
Entry 01/26/2026 12:43 PM
Member virtualodin

They've owned OTM for a few years now, nothing changed around their stance in the last 6m and RMV is down almost 40% so I think something else must be driving it?

Subject Re: Re: Re: Update
Entry 01/26/2026 03:48 PM
Member Fat_Tony

Over the last 6mo:

RMV LN -38

CSGP -30

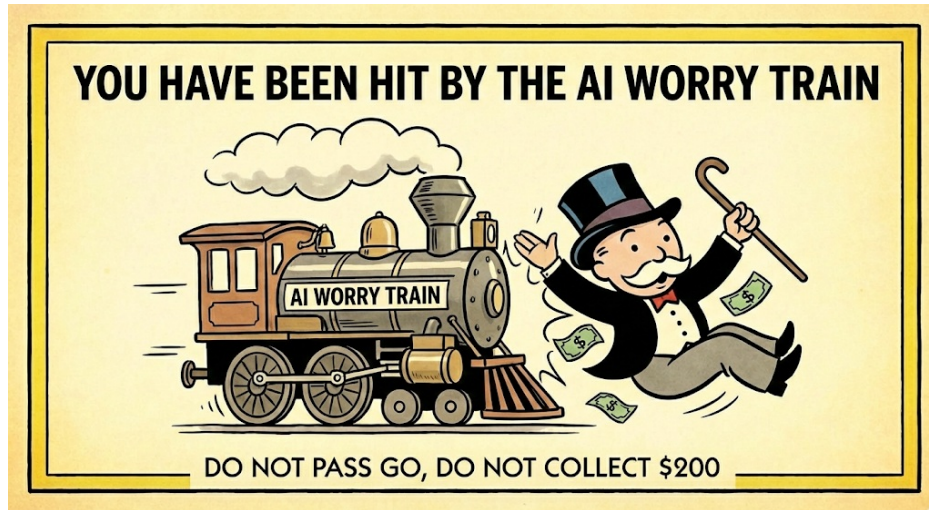
REA AU -22

G24 GR -26

HEM SS -50

S&P 500 +10

Something else is indeed afoot.



Subject
Entry
Member

Re: Re: Re: Re: Update
01/26/2026 04:22 PM
JackBlack

Can anyone provide a succinct summary of the AI disruption risk to RMV's business? Apologies if it's obvious. I've not followed this business or the UK market.

Subject
Entry
Member

Question
02/09/2026 09:02 AM
Forrest Gump

Does anyone understand why Rightmove's margins are so much higher than comparable businesses (such as Hemnet, Rea etc). Is rightmove's position just that much more dominant or is there something else going on? Many thanks in advance. Forrest

Subject
Entry
Member

Re: Question
02/09/2026 10:07 AM
gtwt

Run with minimal investments for decades, margins at RMV and BCG are as good as it gets in classifieds. Now forced to invest in product (since a few years ago when the new CEO came in) and technology (since AI - their servers were literally in the basement).

REA in its domestic market is actually not that far off, intl dilutes total margins. ImmoScout is trending from low to high 60s, too, due to operating leverage. SMG also getting to mid 60s on the group level, high 60s-low 70s in RE and Autos.

Hemnet has legacy agent kickbacks, hopefully gets to peer levels at some point.

Subject
Entry

Re: Re: Re: Re: Update
02/17/2026 07:24 AM

Member

Forrest Gump

The AI disruption case as I understand it: Rightmove aggregates information that exists elsewhere (brokers). Consumers today access that information through Rightmove's app or website, but if consumers in the future instead asked an AI agent to look for a property it is conceivable that the AI agent would aggregate the information from several different sources (e.g. real estate agents website) eliminating the need for Rightmove. For consumers this might have the charm of being able to ask more complex questions closer to their needs (e.g. find a house within 10 mins from this school with 3 parking spots close to a playground).

Rightmove could respond by not allowing their website to be indexed by AI agents but that may come at the loss of traffic esp if one of the competitors allows it. They also have some proprietary information on user behaviour, which may be helpful around the edges.

Another advantage Rightmove has vs the US for example is that in the US multiple listing services are more common I think meaning that fewer listing are unique to any one website compared to Rightmove in the UK.

Subject Re: Re: Re: Re: Re: Update
Entry 02/17/2026 09:38 AM
Member JackBlack

Makes sense, @Forrest Gump. Same risk that Zillow faces.

Subject Lawsuit
Entry 05/20/2026 07:12 PM
Member Perezvon

Any thoughts on the current lawsuit against the company and its pricing? Even without legal penalties do you think Rightmove can sustain pricing power if agents are becoming hostile towards them?

Thanks

Subject Re: Lawsuit
Entry 05/21/2026 10:11 AM
Member Fat_Tony

>do you think Rightmove can sustain pricing power if agents are becoming hostile towards them

Agents have been hostile to them, forever. That's where On The Market came from (Agents' Mutual) in 2015. And there was outright rebellion in 2020 with the "say no to Rightmove campaign".

Rightmove pricing has obviously been fine, over the protests of their customers.

That said...the lawsuit is a big deal imo. I have no view on the UK tort system. I know they moved from an opt-in to an opt-out system about a decade ago. Which means this class action regime is still in its infancy.

But a loss would be a solvency issue for the company. 1.5bn damages = ~5x EBITDA. The UK mkt doesn't allow that much debt. Equity raise death spiral etc.

Subject Re: Re: Lawsuit
Entry 05/26/2026 02:56 PM
Member Forrest Gump

There was a lawsuit against Visa and Mastercard a few years ago that settled while back. I think was settled for 2% or so of the alleged damages. The case has some parallels.

Comparing the alleged damages to the revenues of rightmove is another waysign that the damages are probably dramatically inflated as I would to if I was bringing this action. I really doubt they will have to pay anything close to 1.5 Bn.

Subject Re: Re: Re: Lawsuit
Entry 05/26/2026 05:46 PM
Member Fat_Tony

The V/MA case is a bit misleading. Yes, the consumer class action settled for 200m vs 14bn sought. However, the whole reason for that is that the courts ruled that the majority of anti-competitive excess fee expense was born by merchants not consumers. The merchant class action is still in progress, where they are seeking 4bn in damages and have had some early wins (see Feb CAT ruling). We'll see how that shakes out.

I doubt RMV will be on the hook for 1.5bn too, Forrest.

But this is a game of probabilities.

A 1.5bn judgement would be catastrophic for the equity.

Every 100m in settlement is 3% hit to equity.

I dunno, maybe there's some minute chance of a judgement that impairs the equity, with the rest of the probability space split between a few hundred mm settlement (5-15% hit to equity) and a legal victory (outright, or de minimis settlement).

The mkt abhors uncertainty. And UK investors trebly so. Maybe that's the opportunity.

I also have to think this would be a hang-up for the rumored PE suitors.

Subject	Re: Re: Re: Re: Lawsuit
Entry	05/27/2026 02:28 AM
Member	Forrest Gump

You make good points. Two more thoughts on V/MC: 1. V/mc was a much better case because a court had already established uncompetitive conduct. Not a lawyer but it's much harder to see the uncompetitive conduct in this case. To me this case boils down to "we'd love a lower price" 2. V/MC took something like 10 years. Case is litigation financed. There will be a lot of pressure to settle.

Made this a smallish position recently together with autotrader. Let's see.